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Chapter 4: Protecting Canada’s sovereignty and security | Budget 2025

31–39 minutes

As the world grows more volatile and dangerous, now more than ever, Canada must be ready and able to defend our territory, our people, and our values to secure our sovereignty and to protect and uphold our commitments to our Allies. This includes helping to counter Russian aggression and to uphold Ukraine's sovereignty and territorial integrity to ensure security across the Euro-Atlantic region.

In this period of great power competition and geopolitical uncertainty, Canadian leadership in the world will be defined not just by the strength of our values, but also by the value of our strength. A more confident, united, and stronger Canada can help transform this age of disorder into an era of prosperity for all Canadians.

This starts with rebuilding, rearming, and reinvesting in the Canadian Armed Forces. The government's generational investments in our Canadian Armed Forces will provide our military with the necessary tools and equipment to protect our sovereignty and bolster our security. This increase in investment also creates opportunities for the Canadian defence industry. We will reform defence procurement to make it easier and faster to buy Canadian-made equipment—supporting our domestic defence industry and creating high-paying careers.

The Canadian Armed Forces are currently active in 37 operations around the world. The women and men of our military contribute to promoting global peace and security, while ensuring Canada's place in the world. Canadian military operations range from maintaining international security and stability in the Middle East (Operation AMARNA), to leading a Multinational Brigade as part of NATO's assurance and deterrence measures in Central and Eastern Europe and the Baltics (Operation REASSURANCE), to whole-of-government sovereignty patrols and security exercises in Canada's Arctic (Operation NANOOK).

To address years of inadequate equipment for the Canadian Armed Forces and to strengthen Canada's defence industry, Canada's new government is accelerating investments to meet the North Atlantic Treaty Organization's (NATO) 2 per cent of gross domestic product (GDP) target this year and put Canada on a pathway to meet the NATO Defence Investment Pledge of investing 5 per cent of GDP in defence by 2035.

As part of this pledge, Canada will invest 3.5 per cent of GDP by 2035 in core military needs such as supporting the Canadian Armed Forces, modernising our military equipment and technology, and building up our defence industries. An additional 1.5 per cent of GDP will also be dedicated to defence and security-related investments made by all levels of Canadian government, such as telecommunications and emergency preparedness systems which serve national defence and national security purposes. The government expects that currently planned spending by federal, provincial, territorial, and municipal governments will meet this 1.5 per cent commitment.

Through these investments, we are giving our Canadian Armed Forces the tools they need to defend every square foot of our sovereign territory, from the seafloor to the Arctic to cities to cyberspace, and to protect Canadians from present and emerging threats.

To protect our communities, Canada's new government is also cracking down on illegal drugs and gun trafficking, hiring 1,000 new Royal Canadian Mounted Police (RCMP) personnel and 1,000 new Canada Border Services Agency (CBSA) officers, and making bail and sentencing laws stricter. In September, the government introduced new legislation to address the horrifying rise in hate, especially in Antisemitism and Islamophobia, and to protect religious and cultural buildings and spaces. Our government is fighting hate so that together, we can build a country where Canadians of all faiths can live their lives openly, freely, and safely. This is Canada, and in Canada, you should be able to wake up, get in your car, drive to work, or your place of worship, come home, and sleep soundly at night. Canada's government is committed to making that promise a reality.

4.1 Defending Our Sovereignty

Canada must be prepared to defend our people, to secure our sovereignty, and to protect our Allies. Budget 2025 lays out the government's plan to secure Canada, fulfill our responsibility to shared security with our Allies, build a world-class defence industrial base, and establish a new **Defence Investment Agency** that will accelerate the procurement process.

Rebuilding, Rearming, and Reinvesting in the Canadian Armed Forces

Canadians are proud of our Armed Forces and their unwavering dedication to protect us and our sovereignty. They keep people and communities safe through major disasters. They protect our sovereignty and respond to threats in our Arctic. They contribute to NATO's deterrence and collective security efforts around the world. Our Canadian Armed Forces are among the best in the world, and they deserve the capabilities necessary to succeed in an increasingly challenging threat environment.

In 2013, Canada's defence spending fell to less than 1 per cent of our GDP. It has since more than doubled in absolute terms, but more is needed. The brave members of our Canadian Armed Forces who are protecting our sovereignty do not have all the resources they need for a riskier world. Our military infrastructure and equipment need to be upgraded and updated, our defence capabilities need to be rebuilt and reasserted, and we need to work with partners to further research, investment, and procurement.

Canada's new government is providing our military with the tools it needs to meet the modern threat environment by rebuilding, rearming, and reinvesting in the Canadian Armed Forces.

- Budget 2025 proposes to provide $81.8 billion over five years on a cash basis, starting in 2025-26, to rebuild, rearm, and reinvest in the Canadian Armed Forces (CAF). This includes over $9 billion in 2025-26 that was announced by the Prime Minister in June 2025. Key investments include:

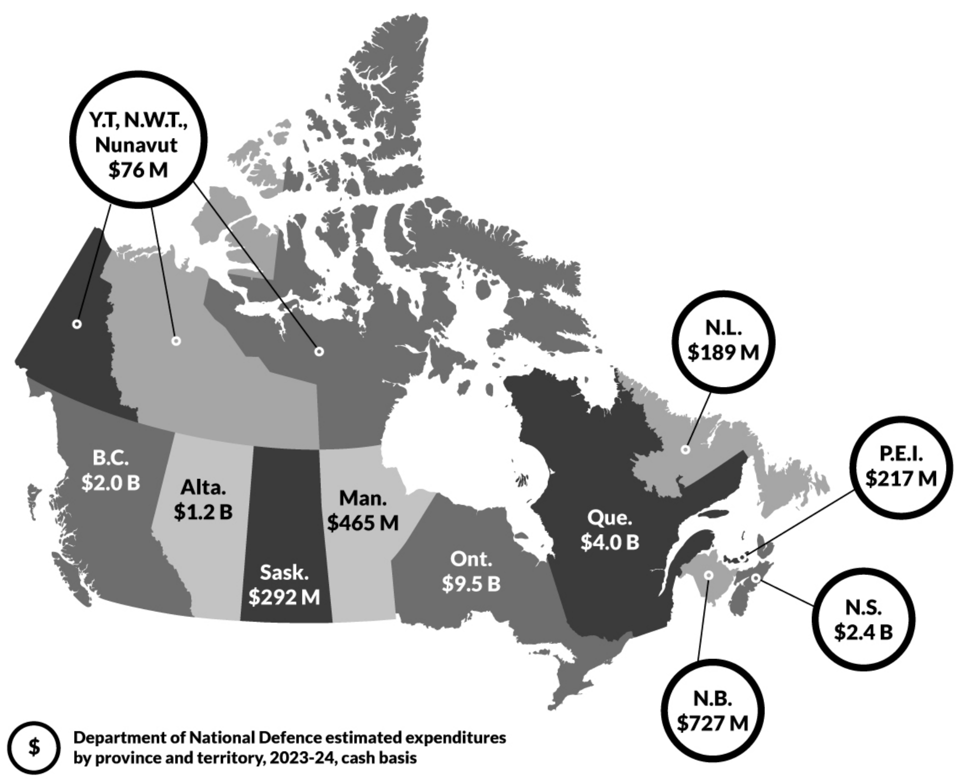
- $20.4 billion over five years, to recruit and retain a strong fighting force, including generational pay raises for the CAF, and support CAF health care.
- $19.0 billion over five years to repair and sustain CAF capabilities and invest in defence infrastructure, including expanding ammunition and training infrastructure.
- $10.9 billion over five years for upgrades to Department of National Defence, CAF, and Communications Security Establishment digital infrastructure, including those needed for modern warfare, such as cyber defence.
- $17.9 billion over five years to expand Canada's military capabilities, including investments in additional logistics utility, light utility, and armoured vehicles, counter-drone and long-range precision strike capabilities, and domestic ammunition production, among other investments.
- $6.6 billion over five years, starting in 2025-26, to strengthen Canada's defence industry through a **Defence Industrial Strategy**. As the Strategy is implemented, starting with initial investments announced in Budget 2025, we will develop our defence industrial base so that more of our military capabilities are procured from Canadian supply chains. (See below for additional details).

- $6.2 billion over five years to expand Canada's defence partnerships, including expanded military assistance to Ukraine and increased military training and international policy programming.
- $805 million over five years to the Canadian Coast Guard, the Canadian Security Intelligence Service, and Public Services and Procurement Canada for complementary initiatives to support Canada's defence capabilities.

Launching the Defence Industrial Strategy

Canada's new government is moving to take immediate and decisive action to rebuild Canada's defence capacity, rearm the Canadian Armed Forces, and invest in the Canadian defence industry. This generational investment in our defence and security creates enormous opportunities for Canadian businesses.

Figure 4.1
Department of National Defence estimated expenditures



The defence sector in Canada accounts for over 81,200 direct and indirect jobs. Past defence projects have generated high-paying jobs in local communities. The opening of the **new B Jetty** in CFB

Esquimalt in British Columbia created close to 1,300 jobs during its construction. The **Future Aircrew Training** program, an $11.2 billion investment in training the next generation of Canadian aviators, has the potential to create or maintain 3,400 jobs annually across Canada. Our **River-class Destroyer** project is expected to create or maintain over 5,000 jobs over the next 15 years, many of which will be in Halifax, Nova Scotia.

As we invest to build Canada's defence industrial base, our renewed commitment to defence will create many more fulfilling, high-paying careers for Canadian workers. Business opportunities will be across the supply chain: from the production of raw materials, including steel and aluminum, to the truckers and rail workers who ensure their transit, to those who transform these materials into equipment, weapons, ammunition, and vehicles. It will also drive innovation in technology sectors, including artificial intelligence, quantum, and cyber.

To that end, the government is launching a new **Defence Industrial Strategy**. This strategy will ensure Canada's defence investments are now guided by a whole-of-government approach to building sovereign defence capacity—creating high-paying careers, opportunities for businesses, and sourcing Canadian resources in the process.

Initial Investments Under the Defence Industrial Strategy:

Of the $6.6 billion to strengthen Canada's defence industry noted above, the government is already allocating $4.6 billion over five years on a cash basis, starting in 2025-26, for initial investments under the forthcoming **Defence Industrial Strategy** to improve access to capital, drive research and innovation, bolster domestic supply chains, and grow critical resource stockpiles. The government will release the **Defence Industrial Strategy** in the coming months. Key initial investments include:

- $68.2 million over three years, starting in 2025-26, to the Department of National Defence (DND), Innovation, Science and

Economic Development Canada (ISED), the National Research Council (NRC), and the Communications Security Establishment to establish the **Bureau of Research, Engineering and Advanced Leadership in Innovation and Science (BOREALIS)**.

- $1.0 billion in 2025-26 to create a new **Defence and Security Business Mobilization Program** at the Business Development Bank of Canada to provide loans, venture capital, and advisory services to help small-and medium-sized businesses contribute to Canada's defence and security capabilities.
- $656.9 million over five years, starting 2025-26, to ISED to develop and commercialise dual civilian-military technologies in a range of industries, including aerospace, automotive, marine, cybersecurity, artificial intelligence, biodefence, and life sciences.
- $334.3 million over five years, starting in 2025-26, to ISED, NRC and the National Science and Engineering Research Council for a suite of measures to help anchor quantum technology companies in Canada and provide pathways to technology adoption in defence-related applications and industries.
- $443.0 million over five years, starting in 2025-26, to Natural Resources Canada and ISED to support the development of innovative critical minerals processing technologies, support joint investments with Allies in Canadian critical minerals projects, and develop a critical minerals stockpiling mechanism to strengthen Canadian and Allied national security.
- $182.6 million over three years, starting 2025-26, to DND to establish a sovereign space launch capability.

A New Defence Investment Agency

Canada's new government is focused on providing the women and men in uniform with the equipment they need, when they need it. With the right tools in their arsenal, we will reinforce Canada's sovereignty, create high-paying new careers for Canadian workers, and strengthen our defence partnerships with Allies.

Canada's defence procurement is currently fragmented across several departments, slow to consult industry, and too complicated to respond to rapidly evolving military needs—leading to significant delays in delivering critical equipment. To protect our sovereignty and bolster our industrial capacity, the government announced the creation of a new **Defence Investment Agency (DIA)**, which will overhaul and streamline Canada's defence procurement. The DIA will approve procurements to support strategic defence sectors in Canada, so that we are able to ensure the Canadian Armed Forces has the world-class equipment it needs, and at the same time create new careers, grow our economy, and support innovation in aerospace, shipbuilding, and advanced manufacturing.

The **Defence Investment Agency** will have three objectives:

1. **Consolidate procurement processes**—removing duplicative approvals and red tape, accelerating defence procurement, and providing industry with greater clarity and certainty. With a centralised process of review and approval, procurements will advance faster.
2. **Target procurements to support strategic defence sectors in Canada,** so that we are able to meet the capability needs of the Canadian Armed Forces, and at the same time create new careers, grow our economy, and supercharge innovation in aerospace, shipbuilding, and advanced manufacturing.
3. **Ensure earlier engagement between the Canadian Armed Forces and Canada's defence industry**, so the military can communicate operational needs, and industry can provide realistic assessments of timelines, costs, and technological options. Early engagement will ensure both the government and industry can better anticipate future needs and build industrial capacity ahead of time, at speed and scale.

Strengthening Canada's Presence: Operations REASSURANCE and AMARNA

Canada launched Operation REASSURANCE in 2014 following

Russia's first invasion of Ukraine. More than a decade later, it remains the CAF's largest overseas mission, with approximately 2,000 troops currently deployed to deter Russian aggression and defend NATO territory.

Canada is strengthening transatlantic security and reaffirming our commitment to defend NATO territory in the face of ongoing Russian aggression. Under Operation REASSURANCE, Canada provides Armed Forces personnel to the Canadian-led NATO Multinational Brigade-Latvia (MNB-Latvia).

In MNB-Latvia, Canada leads around 3,000 troops from 14 contributing nations. The work of the Canadian Armed Forces strengthens NATO's defence of its Eastern Flank and contributes to deterrence efforts along Latvia's nearly 300 km border with Russia.

In August 2025, the Prime Minister announced the renewal of Operation REASSURANCE for three years, starting in 2026-27. This renewal will sustain the Brigade's personnel and military capabilities in Latvia—reinforcing our collective defence, strengthening co-operative security, and keeping NATO's presence strong on its Eastern Flank.

This year, Canada also launched Operation AMARNA, the CAF's contribution to strengthening peace and security in the Middle East. Operation AMARNA allows the CAF to adapt to changing geopolitical dynamics and respond to emerging security challenges in the region.

Investing Where It Counts: Defence Investments to Drive Economic Growth

Defence spending is about more than just security—it also has the potential to catalyse economic growth and innovation and strengthen long-term prosperity for Canadians in the defence sector and beyond. This is because defence spending entails investments in strategic assets—including dual-use infrastructure, advanced technologies, and sovereign capabilities—that durably boost the economy's productive capacity.

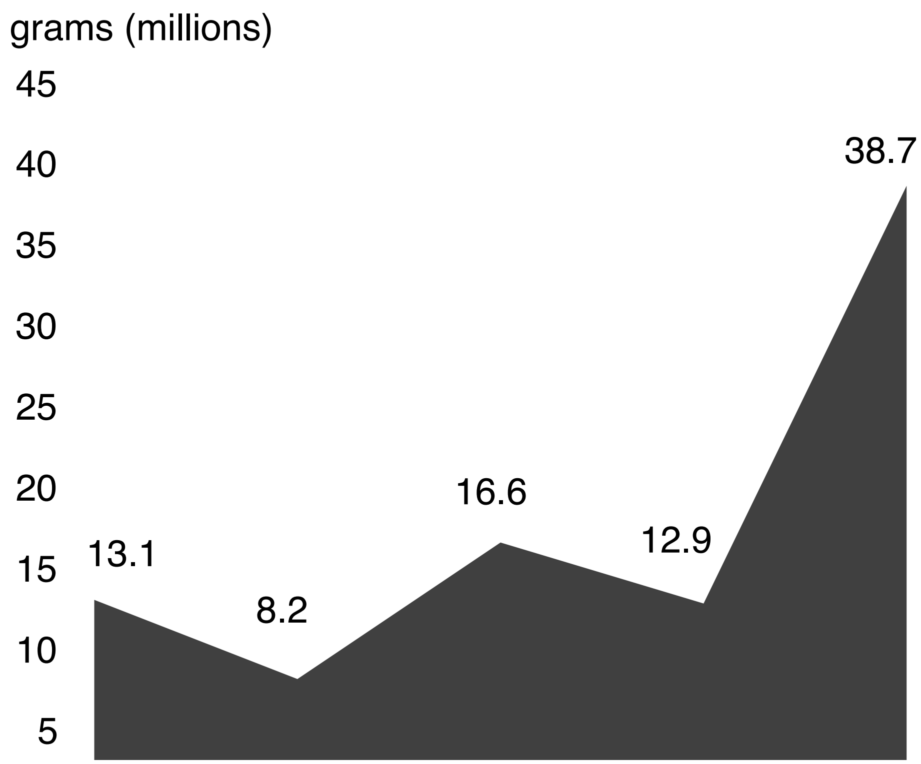
The initial research and development (R&D) initiatives outlined above—amounting to $2.3 billion over five years to support R&D in quantum computing, space, aerospace, and other advanced technologies—could add as much as $6.1 billion to Canada's national income over the long term. This is on top of the benefit of defence investments in enhancing Canada's national security and resilience.

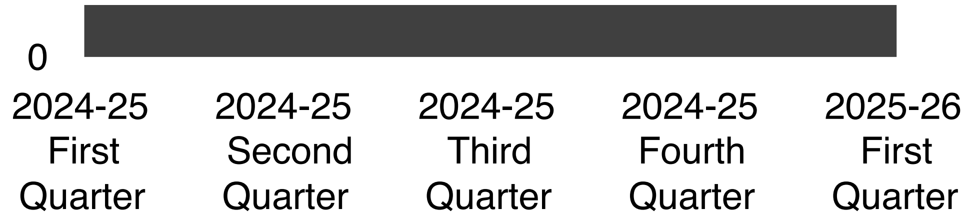
4.2 Protecting Our Borders and Communities

In a time of global uncertainty, Canada's new government is taking action to ensure it can adapt and respond to emerging threats to protect the safety and security of our communities. Cross-border smuggling of illegal guns and drugs, including fentanyl and its precursor chemicals, and other security threats put Canadian communities at risk. Canada's response to these threats, including to organised crime groups and the illicit financing networks that underpin their criminal activity, is robust and dynamic.

Chart 4.1

Drugs Seized by the Canada Border Services Agency Entering and Leaving Canada





Canada's new government is hiring more new law enforcement personnel, investing in enhanced investigative capacity, and is removing dangerous assault-style firearms from Canadian communities. The government is choosing to build stronger communities—where you feel secure in your home, safe in your neighbourhood, and in control of your future.

Strengthening Federal Law Enforcement

Tougher laws are only one part of safer communities—we also need the people and the resources to enforce them. Canada's new government is investing in hiring more RCMP personnel to enforce our laws and protect our communities. This means we are increasing federal policing capacity across Canada to combat crime—including online fraud, money laundering, online child sexual exploitation, and organised criminal networks that threaten Canada's economic and national security.

Establishing a Financial Crimes Agency

Criminals continue to exploit Canada's economy and financial system to commit sophisticated financial crimes, such as financial fraud, and to launder their illicit proceeds. To combat these serious crimes and protect Canadians, Canada must take bold action, modeled after international best practices.

Enhancing the Canada Border Services Agency

This funding is complementary to the **$1.3 billion Border Plan** announced in December 2024, which together will allow the CBSA to hire up to 1,000 new officers.

Canada Community Security Program

To address the horrifying rise in hate, and hate-related crimes in our communities, including numerous incidents of Antisemitism and Islamophobia, Canada's new government introduced the *Combatting Hate Act*, to better protect access to places of worship, schools, and community centres, and to more clearly address and denounce hate-motivated crimes.

Modernising the Meteorological Service of Canada

For over 150 years, the Meteorological Service of Canada (MSC) has provided Canadians with up-to-date information about the weather. The MSC's High-Performance Computing (HPC) solution is the only system in Canada capable of running the models required to produce weather forecasts, alerts, warnings, and climate projections. This essential federal service supports Canadians and key sectors of the economy (e.g., agriculture, transport, and marine shipping) in making informed decisions that protect people, property, and foster economic growth, and provide timely information to emergency responders and the CAF.

Canada's new government is investing in a modernised computing system for the MSC to ensure Canadians have access to more reliable weather forecasts.

Renewing Canada's National Public Alerting System

The **National Public Alerting System** saves lives. It warns of natural disasters, giving Canadians time to flee the area, and it reports on abducted children, helping to bring them to safety. The government is ensuring Canadians get these critical, lifesaving alerts by creating a new **National Public Alerting System** model. The Mass Casualty Commission recommended transformative change to better prevent and respond to critical incidents and mass casualty events in the future and make Canadian communities safer. These actions respond to the Commission's recommendations on public alerting.

Improving Preclearance at Canada's Borders

Efficient and effective transportation across airports and marine ports is crucial to building one Canadian economy and fostering trade. To make air and marine transport more seamless, the government is investing in improving preclearance at Canada's borders.

Removing Assault-Style Firearms from our Streets

Weapons made for the battlefield do not belong on Canadian streets—where children walk to school, where workers wait for the bus, and where you live. To protect our communities, Canada's new government is removing assault-style firearms from our streets. These measures respond directly to the Mass Casualty Commission's recommendations.

Strengthening Canada's Emergency Management

Wildfire seasons in Canada are becoming more severe and are having lasting impacts on the lives of Canadians. Protecting our communities from these devastating wildfires requires bold approaches and committed, coordinated action from all levels of government.

4.3 Building a Stronger Financial System

In a world that is changing—with rising geopolitical, security, and natural disaster risks—protecting our communities also means ensuring Canadians and businesses have protections for their assets and have a strong and secure financial system.

Combatting Financial Fraud

From ghost texts and mysterious links, to masked voiceover calls and phony bank emails, financial fraud and crimes are becoming increasingly sophisticated and harder to detect—and remain an ever-growing threat to the financial well-being of Canadians everywhere. Seniors, newcomers, and other vulnerable populations are disproportionately affected. In 2024 alone, the Canadian Anti-

Fraud Centre reported that Canadians lost $643 million to fraud, representing nearly a 300 per cent increase since 2020, while only 5 to 10 per cent of scams are reported.

In response, the Government of Canada is taking decisive action to enhance enforcement measures and ensure Canadians can feel confident that their financial systems are secure and resilient.

- Budget 2025 announces the government's intention to develop a whole-of-government **National Anti-Fraud Strategy**. This strategy will bring together financial institutions, technology, and telecommunication companies to develop a cross-sectoral approach to protect Canadians from evolving and highly complex fraud schemes.

- Budget 2025 also announces the government's intention to amend the *Bank Act* and make relevant regulations to:

- Require banks to have policies and procedures to address consumer-targeted fraud.
- Allow consumers to adjust maximum transaction amounts, and require banks to obtain the express consent of consumers to enable certain account features and permit consumers to disable features they do not need, with these features to be prescribed in regulation.
- Require banks to report data on consumer-targeted fraud to the Financial Consumer Agency of Canada, with the specific data points to be prescribed in regulation. Anonymised data would subsequently be reported to the Minister of Finance to inform the government's future policymaking on financial fraud.

Ensuring Crime Doesn't Pay

The government strongly supports Bill C-12, *the Strengthening Canada's Immigration System and Borders Act*, which includes a comprehensive package of measures to support Canada's fight against financial crimes. These measures will ensure Canada knows the businesses and professionals that work every day to support Canada's Anti-Money Laundering/Anti-Terrorist Financing Regime and will strengthen supervision, compliance, and information sharing under the *Proceeds of Crime (Money Laundering) and Terrorist Financing Act* (*PCMLTFA*).

Complementing these measures, Budget 2025 confirms the government's intention to take steps to further protect Canadians and Canadian business from financial crimes.

Canada launched in February a new Integrated Money Laundering Intelligence Partnership (IMLIP) between law enforcement and Canada's big banks. This partnership will bolster Canada's response to organised crime and high-end money laundering schemes, including related to fentanyl trafficking.

Strengthening the Review of Foreign Bank Investments

Improving Insurance Resiliency Against Natural Disasters

More can also be done to ensure Canadian consumers are protected by a resilient financial system in the face of extreme events like earthquakes.

Gender and Diversity Impacts Spotlight

Budget 2025 takes action to protect diverse groups from a broad range of risks to their safety and well-being by:

- **Removing Assault Style Firearms from our Streets,** which prioritises groups most affected by gun violence. In 2023, men 18+ were 56 per cent of victims, women and girls were about one third of victims, and 67 per cent of firearm-related intimate partner violence victims. Indigenous, Black, and other racialised communities face significant victimisation.
- **Renewing Canada's National Public Alerting System** will especially help seniors, persons with disabilities, Indigenous

people, and low-income households by providing accessible, bilingual alerts for wildfires, floods, public safety threats, and Amber Alerts. In 2024, 879 alerts were issued nationwide.

- **Combatting Financial Fraud** will protect all Canadians, especially seniors, who are more often targeted by phone scams, as well as younger people who face rising risks on digital platforms. In 2024, reported losses totaled $643 million, and only 5 to 10 per cent of frauds are estimated to be reported.

For more information on the expected impacts of Budget 2025 measures on these and other diverse groups of Canadians, please see Annex 6.

Chapter 4

Protecting Canada's Sovereignty and Security

millions of dollars

	2025-2026	2026-2027	2027-2028	2028-2029	2029-2030	
4.1 Defending our Sovereignty	**7,235**	**11,029**	**12,423**	**13,971**	**14,125**	**5**
Rebuilding, Rearming, and Reinvesting in the Canadian Armed Forces[1,*]	7,217	10,125	11,601	13,331	14,348	5
Less: Funds Previously Provisioned in the Fiscal Framework	*-18*	*-80*	*-148*	*-214*	*-280*	*-*
A New Defence Investment Agency[2]	0	13	19	19	19	7

	2025-2026	2026-2027	2027-2028	2028-2029	2029-2030	
Strengthening Canada's Presence: Operations REASSURANCE and AMARNA[3,*]	57	1,018	998	836	40	2
Less: Funds Sourced From Existing Departmental Resources	*-20*	*-47*	*-48*	*-2*	*-2*	*-*
4.2 Protecting our Borders and Communities	**17**	**631**	**890**	**1,203**	**1,283**	**4**
Strengthening Federal Law Enforcement[4,*]	0	236	367	535	623	1
Less: Projected Revenues	*0*	*0*	*-3*	*-7*	*-10*	*-*
Enhancing the Canada Border Services Agency[5,*]	196	96	147	186	208	8
Less: Funds Previously Provisioned in the Fiscal Framework	*-11*	*-11*	*-11*	*-11*	*-11*	*-*

	2025-2026	2026-2027	2027-2028	2028-2029	2029-2030	
Modernising the Meteorological Service of Canada*	8	17	302	418	391	1
Renewing Canada's National Public Alerting System	0	14	14	14	14	5
Improving Preclearance at Canada's Borders	0	3	4	4	4	1
Removing Assault-Style Firearms from our Streets	364	217	5	0	0	5
Less: Funds Sourced From Existing Departmental Resources	*-541*	*-6*	*0*	*0*	*0*	*-*
Strengthening Canada's Emergency Management	0	64	64	64	64	2
Additional Investments – Protecting Canada's Sovereignty and Security	**0**	**33**	**33**	**0**	**0**	**6**

	2025-2026	2026-2027	2027-2028	2028-2029	2029-2030	
Improving Asylum Claim Processing Efficiency	0	33	33	0	0	6
Funding proposed for the IRB to support asylum claim processing.						
Support for NATO's Ukraine Comprehensive Assistance Package	35	0	0	0	0	3
Less: Funds Sourced From Existing Departmental Resources	*-35*	*0*	*0*	*0*	*0*	*-*
Funding to support the enhancement of Ukraine's security and defence institutions and deter Russian aggression, while also enabling interoperab with NATO. Funding is repurposed from a now-defunct NATO Trust Fund fo Afghan National Army.						
Chapter 4 - Net Fiscal Impact	**7,252**	**11,693**	**13,347**	**15,174**	**15,408**	**6**
Of which, capital investment:	*874*	*876*	*1,328*	*1,596*	*1,903*	*6*

[1] Defence investments in 2025-26 under *Rebuilding, Rearming, and Reinvesting Canadian Armed Forces* are equal to over $9 billion on a cash basis, as announc the Prime Minister on June 9, 2025. The $7.2 billion total in 2025-26 on an accrua basis differs from the original accrual figure of $8.3 billion due to the accounting treatment of investments made under the Defence Industrial Strategy.

[2] A New Defence Investment Agency was announced on October 2, 2025.

	2025-2026	2026-2027	2027-2028	2028-2029	2029-2030

[3] Operation REASSURANCE was announced on August 26, 2025.

[4] Strengthening Federal Law Enforcement was announced on October 16, 2025.

[5] Enhancing the Canada Border Services Agency was announced on October 17 2025.

*Measure includes funding classified as a capital investment.

Note: Numbers may not add due to rounding. A glossary of abbreviations used in table can be found at the end of Annex 1.